

Small Business Participation Factor Workbook Instructions

(29 Oct 2024)

General Instructions and Definitions

1. **Tabs:** There are four Tabs in the Workbook: Cover Sheet, PS Tab, Roll-Up Tab, Reports Tab.
Note that for some solicitations, the workbook may not include a Reports Tab.
2. **Formulas and Links:** The worksheets contain formulas and some links, so anything filled out on one sheet may have an impact on another. DO NOT add formulas or links to cells where they do not exist in the template. DO NOT delete or edit existing formulas or links. Submit the workbook in the Microsoft Excel workbook format with all tabs, formulas, and links that are built into the template in the solicitation. Print image files or pictures (for example a picture of an Excel spreadsheet embedded into a Word document) or files containing only values are not acceptable.

3. Definitions and Notes:

Arrangements:

- a. **Prime Contractor.** This is the offeror, the entity that would be awarded the contract.
- b. **Subcontract** (FAR 19.701, FAR Clause 52.219-9, 13 CFR 125.3).
 - First tier subcontracts are those awarded by the Offeror directly to subcontractors.
 - If a first tier subcontractor awards a subcontract directly to another company, that subcontract is a second tier subcontract.
 - *See special notes about subcontracts awarded by Affiliates and Joint Venture Members in definitions below.*
- c. **Affiliate** (FAR 19.101, 13 CFR 121.103).
 - First tier affiliates are considered part of the prime (*not subcontractors*).
 - Therefore, first tier subcontracts of an affiliate are considered first tier subcontracts of the prime.
- d. **Joint Venture Members** (FAR 19.101, 13 CFR 121.103).
 - JV Members are considered part of the prime (*not subcontractors*), even if they are designated as first tier subcontractors in the joint venture legal agreement.
 - Therefore first tier subcontracts of joint venture members are first tier subcontracts of the prime.
- e. **Contractor Team Arrangement (CTA)** (FAR 9.601).
- f. **Small Business Teaming Arrangement (SBTA)** (FAR 2.101).

Socioeconomic Categories:

- g. **Other Than Small Business (OTSB)** is any entity that is not a U.S. small business concern, including, but not limited to large businesses, educational institutions, non-profits, Government entities, and foreign firms.
- h. **Small Business (SB)** (FAR 2.101, FAR Clause 52.219-8, 13 CFR 121).
 - This includes **SB, SDB, WOSB, HUBZone SB, VOSB, SDVOSB**.
 - For subcontracting, it includes qualified nonprofit agencies participating in the **Ability One** program (DFARS Clause 252.219-7003), and designated credits from **ANC or IT** subcontracts at both first and lower tiers, regardless of the size or Small Business Administration (SBA) certification status of the ANC or IT (FAR Clause 52.219-9).
- i. **Small Disadvantaged Business (SDB)** (FAR 2.101, FAR Clause 52.219-8).
 - This includes **SDB, 8(a)SB, and HBCU/MI**.
 - For subcontracting, it includes designated credits from **ANC or IT** subcontracts at both first and lower tiers, regardless of the size or SBA certification status of the ANC or IT (FAR Clause 52.219-9).
- j. **Woman-Owned Small Business (WOSB)** (FAR 2.101, FAR Clause 52.219-8).
 - This includes Economically Disadvantaged Woman-Owned Small Business (**EDWOSB**)
 - Women-owned small businesses that are not certified for SBA's WOSB Federal Contracting Program may continue to identify as women-owned small businesses in SAM.gov and receive contract awards outside the program, and these awards can count toward an agency's goal for awards to WOSBs goals
- k. **Historically Underutilized Business Zone Small Business (HUB Zone SB)** (FAR 2.101, FAR Clause 52.219-8).
 - This includes only SBA-certified HUB Zone SBs.
 - HUB Zone certifications at the state or local level are not applicable, and the fact that a small business is situated in a HUB Zone or empowerment zone does not by itself constitute HUB Zone SB status.

- l. **Veteran-Owned Small Business (VOSB)** (FAR 2.101, FAR Clause 52.219-8). This includes **SDVOSB**.
- m. **Service Disabled Veteran Owned Small Business (SDVOSB)** (FAR 2.101, FAR Clause 52.219-8).
- n. **Alaskan Native Corporation (ANC)** (FAR 19.701, FAR Clause 52.219-9).
- o. **Indian Tribe (IT)** (FAR 19.701, FAR Clause 52.219-9).

Cover Sheet Tab

Fill out the Offeror Name and Solicitation Number. DO NOT add logos.

PS Tab

!! IMPORTANT NOTE!!

The 'Total Contract Amount' for purposes of the Small Business Participation Factor is defined in Section M and may include only specific CLINS, options, task orders, proposed prices, target prices, or weighted average prices, etc. Offerors are to include in this Workbook only the dollars that add up to the 'Total Contract Amount' as defined in the Small Business Participation Factor in Section M.

1. Prime Contract:

**** Fill in Line a OR Line b but NOT both! ****

Line a. Offerors who are **OTSBs, OTSB JVs, DoD OTSB Mentor Protégé' JVs** shall fill in this line.

- Fill in dollar amount to include:
 - ✓ Portion of work to be performed by the prime contractor (not subcontracted).
 - ✓ Affiliates: If purchases are being made from first tier affiliates, include those dollars.
 - ✓ Performance Outside of U.S.: If any prime contract work will be performed entirely outside the US or its Outlying Areas, include the dollars for that work.
 - ✓ Joint Venture Members: If you are a joint venture, include the dollars for the work to be performed by all of the members and any separate legal entity.

Line b. Offerors who are **SBs, SB JVs, SBA SB Mentor Protégé JVs, and SBA 8(a) SB Mentor Protégé' JVs** shall fill in this line.

- Place an "X" in all small business categories that apply to your company. If you are a SB joint venture, place the "X"s in the subcategories that apply to the joint venture and not to the members separately.
- Fill in dollar amount to include:
 - ✓ Portion of work to be performed by the prime contractor (not subcontracted).
 - ✓ Affiliates: If purchases are being made from first tier affiliates, include those dollars.
 - ✓ Performance Outside of U.S.: If any prime contract work will be performed entirely outside the US or its Outlying Areas, include the dollars for that work.
 - ✓ Joint Venture Members: If you are a SB joint venture of any kind, include the dollars for the work to be performed by all of the members and any separate legal entity.

Lines 1 – 10. Offerors who are **SBs, SB JVs, SBA SB Mentor Protégé JVs, and SBA 8(a) SB Mentor Protégé' JVs** shall list first tier affiliates and joint venture members that will perform work on the contract and use an "X" to indicate which ones are joint venture members. Entities listed on these lines are not considered subcontractors and should not be listed in the Subcontracts part of the Workbook below.

2. Subcontracts:

Line c. Excluded Subcontracts: Insert the dollars for any excluded subcontracts. Offeror shall **not** include these in lines d – f or 1 – n:

- Performance outside of U.S.: Subcontracts to be performed entirely outside the US or its outlying areas.
- Other: Internally generated costs to the Prime such as salaries and wages; Employee insurance; Other employee benefits; Payments for petty cash; Depreciation; Interest; Income taxes; Property taxes; Lease payments; Bank fees; Fines, claims, and dues; Original Equipment Manufacturer relationships during

warranty periods (negotiated up front with product); Utilities such as electricity, water, sewer, and other services purchased from a municipality or solely authorized by the municipality to provide those services in a particular geographical region; Philanthropic contributions.

Line d. OTSB Subcontracts: All Offerors shall fill in the dollars for the portion of work to be performed by first tier subcontractors who are **OTSB**. Include the following also:

- Affiliates' Subcontracts: Include Affiliates' first tier OTSB subcontracts.
- Joint Venture Members' Subcontracts: Include Joint Venture members' first tier OTSB subcontracts.

Line e. ANC or IT (Lower than 1st Tier only): The dollars on this line are automatically calculated based on "X"s being placed in that category in Lines 1 – n.

Line f. Small Business Subcontracts. The dollars on this line are automatically calculated based on dollars and "X"s input to Lines 1 – n.

Lines 1 – n. Small Business Subcontracts List:

- **List** the first tier **SB** subcontracts of the following:
 - ✓ Offeror.
 - ✓ Affiliates.
 - ✓ Joint Venture Members of any kind of Joint Venture.
- **Fill in:**
 - ✓ Small Business Subcontractor Name.
 - ✓ City, State.
 - ✓ Scope of Work: Fill out brief description of work the subcontractor will perform.
 - ✓ NAICS Code: Fill out the North American Industrial Classification System (NAICS) Code that best fits the work the subcontractor will perform. If the NAICS code has different sub-codes in SBA's table of Size Standards (<https://www.sba.gov/document/support-table-size-standards>), list the full code. Examples: "541519_Except" or "541330_c_Except".
 - ✓ CAGE Code: Fill out the Contractor and Government Entity (CAGE) Code from the subcontractor's record in the System for Award Management (SAM). If the subcontractor is not in SAM, insert "None".
 - ✓ Dollars: Fill in Dollar Amount for work to be performed by the subcontractor.
 - ✓ Small Business Categories: Place an "X" in every category that applies to the subcontractor.

Roll-up Tab

1. **This Tab uses the dollars and "X"s inserted in the PS tab and calculates:**
 - a. SB Participation in each SB category as a percentage of Total Contract Amount as defined in Section M.
 - b. SB Subcontracting in each SB category as a percentage of Total Subcontracting Amount.
2. **All offerors** shall use this tab to review their proposals for accuracy and consistency between the Small Business Participation Factor and other proposal volumes.
3. **OTSB Offerors** shall also use this tab to review for accuracy and consistency between the Small Business Participation Factor and Small Business Subcontracting Plan.
4. **What Counts toward the Offeror's Proposed Small Business Participation Factor Goals:**
 - a. The dollars for the portion of work to be performed as a small business prime.
 - b. The dollars for first tier small business subcontracts.
 - c. The dollars for first tier small business subcontracts of first tier affiliates for work related to the contract.
 - d. The dollars for first tier small business subcontracts of joint venture members for work related to the contract.
 - e. The dollars the Offeror has been designated to receive as a small business and small disadvantaged business credit from an Alaskan Native Corporation (ANC) or Indian Tribe subcontract at first or lower tiers.

Reports Tab

!! NOTE !!

In some solicitations, the Workbook may not include this Tab. If included, follow instructions below.

1. This tab is used to collect the data needed to review the Offeror's performance in complying with small business subcontracting clause requirements on past contracts.
2. OTSB Offerors shall fill in this tab as follows:
 - a. **Entities:** The Offeror shall answer all questions and include information and reports for the entities with the following Unique Entity ID (UEI) Numbers only:
 - The UEI Number associated with the Offeror's own CAGE Code.
 - The UEI Numbers associated with the following if they will be subcontracting to small business:
 - ✓ A First Tier Affiliate that will be performing work on the proposed contract.
 - ✓ A Member of a Joint Venture Offeror.
 - b. **Time Period:** All answers and data included shall be for the twelve months preceding the solicitation issue date. For most issue dates this is easy to calculate. But for help in determining the 12 month period and correct subcontracting reporting periods to include when the solicitation issue date is on the last day of a reporting period (Mar 31st, Sep 30th) or the 1st of the next month when contractors begin to submit their reports (Apr 1st, Oct 1st), the chart below provides examples.

Example #	If Solicitation Issue Date in Current year is:	12 Month Period Preceding it would be:		Reporting Periods Included in the 12 Months would be:		Final Reports submitted at the end of the contract at any time within the 12 Months would also be included.
		From	To	First	Second	
1	31 Mar 2018	31 Mar 2017	30 Mar 2018	Mar 2017	Sep 2017	
2	1 Apr 2018	1 Apr 2017	31 Mar 2018	Sep 2017	Mar 2018	
3	30 Sep 2018	30 Sep 2017	29 Sep 2018	Sep 2017	Mar 2018	
4	1 Oct 2018	1 Oct 2017	30 Sep 2018	Mar 2018	Sep 2018	

3. Section 1 – Statements

Lines a – e. Place an "X" in all that apply, and follow the additional instructions shown in the Workbook.

4. Section 2 – Individual Subcontracting Reports (ISRs/SF294s):

- a. List every Federal contract for which the Offeror was the prime contractor or a subcontractor in the 12 month period preceding issue of the solicitation and which included a requirement to submit Individual Subcontracting Reports (ISRs/SF294s) in accordance with clauses FAR 52.219-9 and DFARS 5252.219-7003.
- b. If during evaluation, the Government finds additional reports from the twelve months prior to solicitation release date that were not submitted in the proposal, the Government may use the additional reports in the evaluation.